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China Battery Materials

What's New from Citi 2026 Pan-Asia Conference: Takeaways from Meetings with ZE Consulting

CITI'S TAKE

We hosted the 2026 Citi Pan Asia Conference and met with ZE Consulting on 19th May. Mr. Alfred Hu, Founder of ZE Consulting, presented at the meetings. ZE expects LFP cathode processing fee will further increase driven by rising FePO₄ price and the producers with vertical integrated business models or using technology routes without FePO₄ will benefit. Considering technology barriers and strong demand, the profit of 4th generation LFP cathode will be higher, while the profit of 3rd generation LFP cathode may remain low. The meetings were conducted in Mandarin and we summarize our key takeaways below.

FePO₄ – ZE expects there will be supply shortage in FePO₄ in 2026E, the raw material for LFP cathode in major technology routes, considering limited capacity addition. There could be some FePO₄ capacity addition in Oct-Dec 2026, while the output contribution in 2026E will be limited considering ~3 months commission and ramp up. Therefore, ZE expects Rmb2-3k/t further price hike for FePO₄. The unit capex for FePO₄ is Rmb5-8k/t and it takes 6-9 months for the construction of new capacity.

LFP cathode – ZE expects LFP cathode processing fee will further increase driven by hiking FePO₄ price and the producers with vertical integrated business models or using technology routes without FePO₄ will benefit. CATL is still the major client for 4th generation LFP cathodes and there are only 3-4 LFP cathode producers able to mass produce. Considering technology barriers and strong demand, the profit of 4th generation LFP cathode will be higher, while the profit of 3rd generation LFP cathode may remain low.

Battery shipment – ZE expects global battery shipment at 3,100-3,200GWh in 2026E, including 1,100GWh ESS battery shipment and 1,700-1,800GWh EV battery shipment. In 2027E, ZE expects global battery shipment will increase 20%+ YoY, among which ESS battery shipment increase ~50% YoY and EV battery shipment increase ~10% YoY.

Lithium – ZE expects lithium demand is in off-peak season currently and the monthly supply and demand is largely balanced. If demand remains strong despite rising lithium price, ZE expects the lithium price could further increase entering the peak season in Aug 2026E.

New technology – ZE is not positive on LFMP route as the energy density of LFP has been reaching LFMP with the development of 4th generation LFP cathode, while the cost of LFMP is higher. Currently, the sodium-ion battery is mainly applied in start-stop battery to replace lead-acid battery and it takes time for the development of sodium-ion battery as the cost is still high.

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